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An unlikely top US workplace: The Indiana Department of Revenue's cultural transformation

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Abstract Transforming any organization's culture is daunting regardless of sector, but a government agency faces even greater challenges. This article documents the multiyear journey of the Indiana Department of Revenue, which went from operating as a typical government bureaucracy to becoming a premier tax administrator and being recognized as one of the top 100 workplaces in the US. The Indiana Department of Revenue's cultural transformation and successful implementation of a multiyear system and business modernization project provide informative lessons on undergoing a cultural transformation, including successfully leading a complex change initiative. I also explored how Pfeffer's people-centered practices of successful businesses can be applied to a government agency.
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1. A case of positive cultural transformation

Organizational culture change has been a subject of considerable interest to business leaders and scholars alike for several decades, especially given its acknowledged impact on competitive advantage, organizational effectiveness, employee engagement, and financial performance. However, success in transforming an organization's culture continues to be elusive. Culture change is fraught with difficult challenges and is frequently unsuccessful. Positive examples of cultural transformation deserve an analysis of the factors that contributed to that success.

One such example is the Indiana Department of Revenue (DOR), which underwent an impressive cultural transformation journey from operating as a typical government bureaucracy to becoming a premier tax administrator and one of the top 100 workplaces in the US. Let us state the obvious: The DOR ensures that Indiana citizens are compliant with Indiana tax laws. It is not the type of organization that people would normally consider a

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great place to work. However, the DOR has been recognized for 5 years as a top workplace in central Indiana for organizations with 500—999 employees and, more recently, as the first government agency to be selected as one of the 100 Top Workplaces (2023) in the US regardless of sector. The DOR has accomplished this without extravagant perks or private-sector compensation levels.

The purpose of this article is twofold. First, I chronicle the cultural transformation that has led the DOR to be recognized as a premier tax administrator and a truly great place to work, beginning with the background conditions that provided the impetus for the change, the transformation process the DOR underwent framed in terms of Schein's (1985, 2017) highly regarded model of organization culture, and the positive results the agency has achieved. The results also include a summary of the DOR's successful implementation of a complex, multiyear modernization project that provides tangible support for Heifetz's (1994) thinking on leading complex change. The emphasis throughout is both on what the DOR did and how it did it. Second, the article explores the generalizability of Jeffrey Pfeffer's (1998a, 1998b) people-centered management practices of successful businesses. The DOR case provides important practical lessons that support and extend Pfeffer's positive people practices across sectors.

2. The challenges of cultural transformation

Organizational culture is the sum of an organization's underlying assumptions, beliefs, values, and mindsets; the implicit and explicit norms that guide people's decisions, behaviors, and actions. Simply stated, culture is the way we do things around here (Handy, 1985). It matters because an organization's culture determines its strategy, goals, ways of operating, and the results it achieves (Schein, 1985, 2017). While there is near-universal agreement regarding organizational culture's crucial role in an organization's performance, Watkins (2021) claimed that there is little consensus on what it is, how it influences behavior, and, most importantly, how leaders can change it. Transforming an organization's culture is daunting and, all too frequently, unsuccessful. According to leading change theorists, historically 70% of these efforts fail (Cameron & Quinn, 2006; Kotter, 1995; Pasmore, 2015). For several decades, countless practitioner and scholarly work has focused on how to manage organizational and cultural change. And yet, a recent study by Argenti and colleagues (2021) found that the failure rate for corporate transformation initiatives has increased and is now closer to 80%. Numerous factors can be attributed to this dismal track record: lack of clear vision and core values, misalignment of strategy and culture, and underestimating the complexity and depth of culture change—especially in terms of identity and implicit assumptions, inadequate leadership support, and insufficient communication.

Transforming the culture of a government agency is arguably an even bigger challenge. Government agencies typically have hierarchical structures and entrenched cultural norms that require a considerable investment of time and resources (Crosby & Bryson, 2005), neither of which government agencies typically enjoy due to frequent changes in political leadership and budget constraints. Government agencies are also subject to numerous rules and regulations as well as numerous stakeholders with differing priorities. Last, the negative stereotypes about government agencies and government workers still prevail. Against this backdrop, the DOR's cultural transformation is even more remarkable. While it is the story of a single organization, single case studies can enhance grounded theories, particularly when the case in question is unique, revelatory, or reflects a noteworthy instance with the potential to generate practical insights for application (Eisenhardt & Graebner, 2007; Yin, 2009). The DOR's cultural transformation is both noteworthy and a source of grounded and actionable insights.

2.1. Background on the DOR

The DOR serves the citizens of Indiana, administering 65 tax types (e.g. income, corporate, sales, cigarette, gasoline, heavy equipment rental, sports wagering, charity gaming), processing millions of service transactions, and managing over $24 billion of tax revenue annually (Indiana Department of Revenue, 2023). The DOR team collaborates with the governor's office, the Indiana General Assembly, state agencies, individuals, business owners, corporations, tax practitioners, and a variety of tax program participants to administer Indiana's tax laws. Each year, DOR team members handle correspondence and phone calls for hundreds of thousands of Indiana citizens and businesses, conduct thousands of audits, and address a broad range of tax protests and legal issues. The DOR's motor carrier services department also manages state and federal registrations

and fuel taxes for 25% of all semi-trucks and trailers on the road in the US.

The DOR's leadership provided me with a wealth of inputs for this case, including numerous internal documents, several years of DOR annual reports, presentations, and a podcast delivered by one of the commissioners. They also arranged meetings with 52 team members—organized as 18 one-on-one meetings and five focus groups consisting of 34 team members. I spoke with the current and prior commissioners, seven members of the executive leadership team, 11 directors, 20 supervisors, and 12 front-line employees from the central office, the returns processing facility, and seven district offices. The average tenure among participants was 14.8 years with a broad range of 2 to 40 years of service.

2.2. The impetus for the change: Major financial errors and loss of credibility

Indiana's DOR faced considerable scrutiny in 2011—2012 after failing to distribute $205 million in local income tax revenues to county governments. Before this, $320 million in corporate taxes was not allocated to the state's general fund over 4 years. This led to Governor Mitch Daniels cutting $300 million for schools while local governments were forced to reduce services and lay off personnel. The funds were subsequently distributed to the counties, but the discovery of these errors led to calls for increased oversight and improved financial controls. An external audit conducted by Deloitte & Touche in 2012 determined that Indiana's multiple filing and processing systems were fragmented and unnecessarily complicated. The complications had workers creating workarounds to achieve processing times at the expense of system controls. An article posted to the Bloomington, Indiana, *The Herald-Times* described the troubling audit findings: "A patchwork system of outdated technology and a work culture that sacrificed accuracy for speed was at the heart of $526 million in tax errors" (Associated Press, 2012). The auditors recommended a more robust system of controls and accountability that could best be achieved by transferring to a single integrated tax system (ITS).

2.3. Restoring DOR's credibility and preparing for system modernization (2012—2016)

The department was in crisis. Its credibility had been seriously wounded, and in 2012 Governor Daniels removed several of the DOR's top officials. He appointed two executives from the private sector: Mike Alley as commissioner and Mike Ashley as CFO. Together, they determined that the number one priority for the department was to restore its credibility. Alley focused on improving service delivery, enhancing controls and governance, and increasing taxpayer compliance. After Alley's retirement in 2015, Governor Mike Pence appointed Andrew Kossack as the commissioner. Kossack continued the work on business process and compliance improvement and implemented nearly 90% of the Deloitte and Touche audit recommendations (Indiana Department of Revenue, 2013). The remaining recommendations were not addressed because they required substantial capital funding to implement an ITS.

Restoring the DOR's credibility and improving its performance were positive achievements. However, the stakes were high as the DOR was embarking on a multiyear modernization project that would test any organization's culture. DOR team members described the initial workplace environment as stiff and bureaucratic with numerous petty rules. There was extensive supervisory oversight and staff were often micromanaged. There was a time clock in use, and people were written up and their pay docked if they were even a few minutes late. DOR team members did not feel trusted, but they were afraid to say anything because they were often punished when they did so. As one team member shared: "We did our jobs and just kept our heads down." There was little collaboration and limited sharing between people, and even less between departments. Doors were locked and people were not allowed to move between departments. People in the district offices felt disconnected from colleagues in the central office. There was also limited interaction between front-line employees and DOR executives. One veteran team member claimed she never saw the commissioner during her first 10 years in the organization. In sum, it was a dispirited agency.

3. DOR's cultural transformation journey

The DOR's success in creating a high-trust culture would not have been possible without key transformational leaders, a major shift in mindsets throughout the organization, a simplified mission statement and corporate values, and leadership's active engagement and interest in team members.

3.1. Transformational leaders: Adam Krupp (2017—2020) and Bob Grennes (2017—Present)

Leadership plays a crucial role in initiating and sustaining any cultural transformation (Kotter, 1996; Schein, 1985, 2017). As Edgar Schein (1985, p. 11), an acknowledged thought leader on organizational culture, has stated: "The only thing of real importance that leaders do is to create and manage culture. The unique talent of leaders is their ability to understand and work with culture." In 2017, Governor Eric Holcomb chose Adam Krupp to lead the DOR and entrusted him with the task of modernizing Indiana's tax system while transforming the culture of this complex government agency. In his prior role as the general counsel of the Indiana Bureau of Motor Vehicles (BMV), Krupp earned a reputation as a culture change leader. He had just handled a similar challenge updating the BMV's IT system while addressing the cracks that had emerged in its culture. Austrom and Baldwin (2014) described the BMV's business transformation as literally the worst BMV in the country to the first. However, the BMV had not fully implemented adequate controls in their integrated software platform and leadership had also relaxed the BMV's positive culture. Krupp played a significant role in improving both the technical system and the BMV culture.

Krupp's first task at the DOR was to get the right leadership team in place. While he kept the CIO for consistency purposes as the organization headed into a multiyear IT modernization initiative, he fielded a new executive team by recruiting people from the BMV and the private sector—including his partner in the transformation and his eventual successor, Bob Grennes. Grennes had held a variety of executive positions in financial service firms, leading IT and operations groups. Grennes initiated a meeting with the governor's transition team that led to an informal chat over coffee with Krupp. At the end of the meeting, Krupp offered him the job of COO. Since the DOR was about to embark on a multiyear systems modernization initiative, Grennes's prior experience was certainly an asset. But the job offer had as much to do with Grennes's thoughts about leadership and how to treat people, which largely coincided with Krupp's philosophy and approach to leadership. When Krupp stepped down in February 2020, Governor Holcomb appointed Grennes as commissioner.

In my communication with Krupp, he summarized his approach to leadership in a simple, three-word motto: respect, trust, and caring. Respect people and trust them. This begets caring for people, which positively cascades down an organization. Prioritizing genuine connections with people, Krupp stepped out of his corner office, walked the corridors, and interacted with DOR team members, asking them what they needed and listening to them. DOR team members appreciated his leadership. One member explained: "Adam was very engaging and engaged. Prior commissioners were not as engaging. He made people feel appreciated. He brought a vision of what public service and servant leadership really mean."

In an interview I conducted with Grennes, he described himself as outgoing and even extroverted, positive, optimistic, and high-energy. He credited the works of popular leadership authors with helping to shape his people-oriented leadership style, especially Patrick Lencioni. The Arbinger Institute (2018) informed and reinforced his belief in the power of respecting people as people and not treating them as objects. Grennes went further: "Many managers think they manage a thing as in 'I am in charge of X' rather than 'I lead people.'" Grennes's mindset has made him well-regarded by DOR team members. One interviewee said:

> [Grennes] is accessible, and he connects well with people; he's not stuck in his office; he knows and has a relationship with everyone. He asks me about my family; and I can call him, he will take my call, and he will listen.

Both Krupp and Grennes have been passionate about building a healthy, high-performing organization committed to providing superior public service. The approach they adopted implicitly reflects Schein's (1985, 2017) three levels of culture that require attention in any successful transformation: (1) the basic underlying assumptions which Schein describes as the tacet beliefs about human nature and relationships that are so ingrained that people seldom recognize their pervasive influence on organizational behavior; (2) espoused beliefs and values that include an organization's ideals, goals, values, strategic aspirations, and codes of conduct that provide guidelines for how to behave; and (3) artifacts that are the most visible and tangible level and include features such as office decor, dress code, company stories, and formal and informal interactions. While Schein's model of culture is well-established, the DOR's cultural transformation provides tangible insight into the three levels of culture and how to successfully transform a

culture in a highly constrained environment. Examples of how the DOR addressed each of the three levels of culture are listed in Table 1.

3.2. Shifting mindsets and underlying assumptions

Krupp and Grennes both stated that transforming the culture of the DOR was their top priority and, more importantly, that the culture change started with them. Both leaders believed that transforming the DOR's culture necessitated shifts in mindsets and the tacet assumptions regarding people and relationships with employees, managers, customers, and stakeholders in the tax ecosystem. Both leaders fully embraced a mindset that respects and values people as people, and conversely eschewed viewing people as objects to be used for instrumental purposes (Arbinger Institute, 2018). As Krupp shared earlier, respect leads to trusting people and caring about them, which is reflected in the foundation of the new DOR culture and the human connections both commissioners established with DOR team members.

This mindset shift was not limited to people within the department. Both leaders sought to extend the respect-trust-care mindset to improve relationships with their customers and the stakeholders in the Indiana tax ecosystem. The most challenging mindset shift they faced was to stop viewing citizens as taxpayers and to start regarding them as customers to be served. DOR leaders knew that taxpayers were not customers according to the usual definition, but they intended to create a norm throughout the agency that team members regard whoever they serve as a customer. Initially, this shift was met with considerable skepticism. DOR team members described the process of shifting mindsets as one of the biggest hurdles they faced during the transformation journey. This is not surprising given that changing an organization's basic, underlying assumptions and beliefs often impacts people's sense of identity and self-worth. For example, auditors' prior measure of a successful audit was finding taxable issues. Now, audits that result in no changes are also considered successful. However, the shift from believing that the DOR exists to collect taxes to instead serve customers was not easy for everyone to accept.

Table 1. How the DOR addressed Schein's three levels of culture

Schein's three levels of culture	How the Indiana DOR addressed Schein's cultural levels
1. Artifacts: visible structures and processes; observed behaviors	• Commissioners regularly visited offices, talked with team members asked what they needed, listened, and acted • Unlocked doors, painted the walls, put pictures of team members in annual reports and on office walls • Made significant investments in developing an effective cadre of leaders at all levels • Frequently communicated with all team members • Identified and eliminated or updated old rules, procedures, and policies in light of the core values and norms of trust and respect • Established best-in-class recognition processes to reinforce the core values and pursuit of the pyramid of excellence
2. Espoused beliefs, including aspirations, values, codes of conduct	• Developed clear, concise, and easily remembered mission, purpose, and vision; integrated them into the DOR Pyramid of Excellence • Engaged leadership in clarifying and living the core values
3. Basic underlying assumptions and tacet beliefs	• Introduced, modeled, and reinforced fundamental mindset shifts: ◦ From viewing people as objects to people as people ◦ From distrusting government workers to respecting and trusting team members ◦ From viewing citizens as taxpayers to treating them as customers ◦ From collecting taxes to serving their fellow citizens ◦ From viewing other stakeholders in the tax ecosystem as adversaries to allies and advocates

Source: Schein (1985, 2017).

Some employees were not willing to embrace the mindset shifts or go through the pain of implementing a new system. They chose instead to retire, move to other state agencies, or leave the government entirely.

With constant communication, some difficult conversations, and consistent modeling of desired behaviors by leadership, members started to see that the shift was permanent and embrace DOR's "passionate, obsessive, almost radical commitment to customer service and making it easy to do business with us" (Indiana Department of Revenue, 2022). The organization has fully integrated the customer service mindset into its purpose, core values, training programs, performance goals, and recognition. Here is how one team member described the mindset shift:

> My mindset started shifting when they kept telling us not to use the word taxpayer and instead to use customer. They emphasized trying to shift us to regard them as more than just a taxpayer, and instead adopt an outward mindset that they are an individual—a person. The whole culture started to shift. Not only are we trying to make our customers feel valued, but they also value us and make us feel like we matter.

Externally, several organizations in Indiana's tax ecosystem have been among DOR's harshest critics historically, including the Indiana CPA Society, the American Payroll Association, the Indiana Society of Enrolled Agents, the Indiana Chamber of Commerce, tax lawyers, and tax software providers. The DOR has worked intentionally to create trust-based relationships and to shift the nature of these relationships from adversaries to allies and advocates. Many of these stakeholders are represented on the Commissioner's Tax Advisory Council which meets regularly to discuss and provide input on changes to the tax code, impending legislation, and changes to the Indiana tax system. In the same spirit, the DOR works closely with other state agencies. The critical mindset shifts that leaders championed and modeled for the rest of the organization fostered a more effective, collaborative, and service-oriented approach to public service. The DOR started to focus on what Denhardt and Denhardt (2000) referred to as serving rather than steering.

3.3. DOR's new espoused beliefs and values

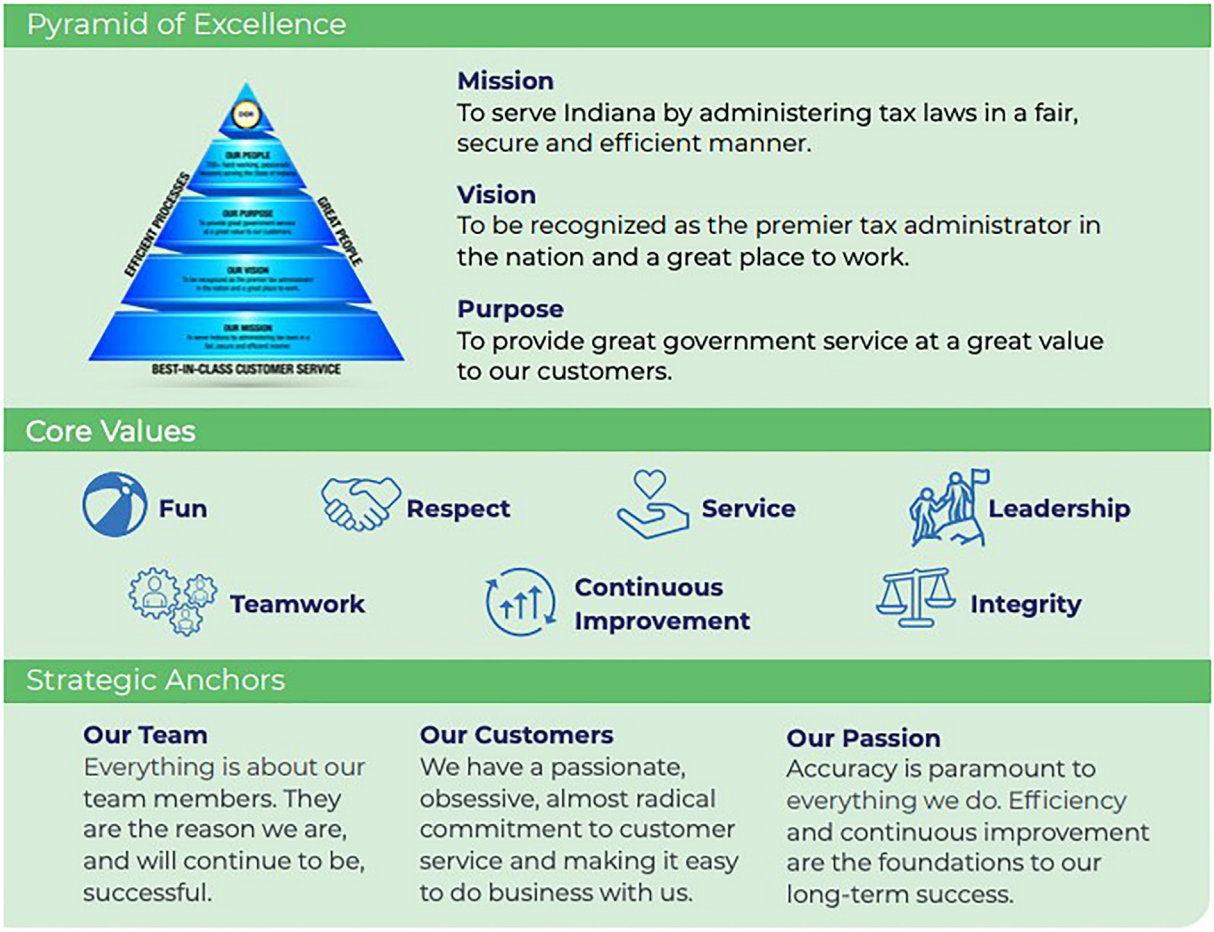
In his first month as commissioner, Krupp had to defend a capital request for $100M to fund the DOR's system modernization initiative. As he developed the presentation, he was struck by the lengthiness of the DOR's statements of direction. The mission statement was a paragraph in length and not easily remembered by team members. DOR leaders dramatically shortened and simplified the mission, purpose, and vision. The DOR's statements of direction are to this day specific, measurable, and easily remembered. This last point is important because they are the espoused beliefs and values that provide guidelines for how people should behave (Schein, 1985, 2017). As shown in Figure 1, these aspiration statements are organized into the DOR Pyramid of Excellence, which provides team members with a clear picture of how the purpose, mission, and vision fit together coupled with the importance of people in achieving best-in-class customer service and operational excellence.

When DOR leaders introduced the pyramid of excellence, people were initially suspicious. Given where the organization started, most team members thought that the vision was unrealistic. However, leadership constantly and consistently talked about the DOR Pyramid of Excellence in the quarterly all-employee meetings, in monthly remarks, and numerous other forums. During their visits to the operations center and district offices, leadership connected with team members and shared and discussed the pyramid of excellence. As one team member remarked: "They really sold the pyramid of excellence." Actually, they still sell it. Six years later, DOR's Pyramid of Excellence continues to adorn office walls. It is attached to many of their documents as an icon and visible reminder. It is included in the welcome package that new hires receive when they join the DOR team. This speaks to both leaders' recognition of the importance of internal communication. As one DOR team member shared, this was demonstrated and reinforced during the pandemic:

> The level of communication during COVID solidified the culture. Leadership had been communicative before, but we got an even higher level of communication during COVID. At first, I thought, how will this new culture survive COVID? But they showed that the changes they were making were authentic.

As the DOR's new culture began to take shape in 2017 and 2018, DOR leadership worked with the director's council, comprised of the executive team and directors, to discern the core values that were emerging and guiding DOR's beliefs, philosophies, and expectations of team members. After confirming the core values, small teams of DOR

Figure 1. DOR statements of direction



team members met to determine what each core value would entail and how best to communicate them. The seven core values that have shaped DOR's culture include fun, leadership, integrity, respect, teamwork, service, and continuous improvement. It is worth noting that these core values were not created in a vacuum; they were tailored to fit the organization's operations. Both commissioners have been consistent in their behavior; they fully embrace and live the core values in all of their interactions inside and outside the DOR. Leaders at all levels followed the commissioners' example, constantly talking about and reinforcing the core values with their teams. They often start team meetings by highlighting tangible behaviors team members have demonstrated that align with these values. As a result, DOR's core values are genuine, authentic, and not performative.

The DOR has developed a creative and thoughtful recognition program to reward team members who demonstrate the core values. It actively looks for people whose beliefs and values are congruent during the selection process. Core values are also a critical factor in promotion decisions. Conversely, team members regardless of level have been released for not behaving in conflict with the core values. DOR suppliers are also evaluated based on their values.

While each of the seven core values is an inextricable element of the DOR's culture, it is perhaps most surprising that fun is the first value listed. This is most certainly intentional. The DOR takes fun very seriously. It sets the tone and is by no means gratuitous. Early in the transformation, it used activities such as ice cream socials and beach balls in the all-employee meetings to loosen things up. While the focus has shifted to recognition celebrations and special events, it kept the ice cream socials because people liked them. DOR leaders believe that having fun at work is an outcome of performing work you enjoy that contributes to others, and being able to do so in a positive, caring environment. As Krupp and

Grennes frequently communicate: "If you are not having fun, you are doing it wrong."

3.4. Aligning cultural artifacts and observable behaviors

Both leaders visibly demonstrated their respect, trust, and caring for DOR team members. Early in his tenure, Krupp held an all-employee meeting to introduce himself and the leadership team and to invite the DOR employees to "just watch what we do." Both leaders walked the corridors, visited the DOR's district offices, and made genuine connections with DOR team members. They asked people what would help them perform better. They listened and they acted. Krupp shared a couple of specific requests that people made early in his tenure, which included replacing broken chairs and getting keyboards that worked. The impact of their active engagement and interest in people is quite evident, as one DOR team member said:

> Adam and Bob come down to the first floor and they know us by name. They are really interested in what we do on a daily basis. They are passionate about wanting to help people. They genuinely love people. It's in their smiles and the spark in their eyes.

Grennes mentioned another powerful signal of the high-trust culture they were pursuing. He asked a supervisor to make a list of all the policies and rules that were operative in the DOR. They reviewed the list and used the DOR's core values as their decision-making criteria, eliminating many of the petty rules that had hamstrung people in the past. They also changed the office environment to make it less institutional and more vibrant. Changes included:

- Replacing drab government grey walls with livelier colors;
- Putting up pictures of DOR team members and the DOR's statements of direction on the office walls;
- Unlocking doors so people could move freely between departments and work with people from other areas; and
- Seeking to eliminate the usual barriers between leadership and employees by featuring photos of DOR team members in the annual reports rather than stock photos.

Leadership significantly increased communication and information sharing via monthly remarks, newsletters, quarterly all-agency meetings, and meetings of the director's council—all of which demonstrated transparency, helped maintain momentum, increased goal alignment, and strengthened team spirit.

Both commissioners recognized that senior and middle managers would be crucial to the transformation, and they made a concerted effort to develop positive, optimistic, high-energy, caring, approachable, supportive, and demanding leaders. Workers in management positions are held accountable for how they treat people. Both leaders encouraged and expected all levels of leadership to follow their example; specifically, to respect and trust their team members. Because the people in leadership roles now feel valued, they, in turn, are more inclined to value their team members. This comment from a DOR team member confirms the positive modeling of DOR's senior leaders:

> The environment has really changed. We don't have the stress of micromanaging. We trust people to do their jobs without standing over them. We now have the freedom to work with employees who are struggling. Before, upper management would micromanage how we managed our teams. Now there's more coaching than discipline.

Leadership is one of the DOR's seven core values, operationalized as inspiring others to become more through positive actions such as continuous learning, putting people first, setting clear performance expectations, providing regular feedback, celebrating success, building high-performing teams, and of course, having fun. The DOR has invested significant time and resources in developing effective leadership throughout the agency. It has created in-house leadership development programs that would be the envy of many for-profit businesses. Their leadership courses are supportive of the DOR culture and include topics such as the importance of trust, the power of seeing people as people, helping others grow, psychological safety, inclusion, and emotional intelligence. It recently launched a new self-paced program on these and similar topics that is open to all DOR team members. The leadership training is now available to all employees regardless of level.

4. Results

Krupp and Grennes' focus on transforming the culture of the DOR yielded remarkable results, including the completion of a lofty modernization initiative and recognition for its innovation within the tax industry as well as outside of it. In addition, the adoption of people-centered practices has made a positive impact throughout the DOR.

4.1. A robust implementation of a complex multiyear modernization initiative

In 2017, the DOR embarked on a massive multiyear modernization initiative that it aptly named Project NextDOR. The scope of the project was extensive (Indiana Department of Revenue, 2022):

> The project was designed to modernize the DOR's technology platform, close internal control gaps, improve internal efficiencies, enhance payment service and revenue processing, and improve customer service. It impacted every part of the DOR: every employee, every partner DOR works with, and every customer DOR serves.

The delivery of Project NextDOR was stellar. The DOR did not miss a single deliverable or milestone and was on schedule and on budget all 5 years.

At the outset, the DOR did its due diligence, followed the department of administration's vendor selection process, and selected a vendor it felt it could partner with to ensure success. The chosen vendor had extensive experience, having implemented their ITS in 26 states. During a 4-month contracting period, the DOR built the foundation for an effective partnership with this vendor. The contractors and DOR subject matter experts (SMEs) were colocated in Indianapolis. They altered the office layout into pods with lower partition walls to foster collaboration and team cohesion. In 2018, they jointly developed the project plan and installed the system infrastructure. There were four year-long rollouts by tax type: corporate taxes in 2019, business and trust taxes in 2020, individual taxes in 2021, and special taxes in 2022.

Project NextDOR successfully implemented over 50 Indiana tax, license, fee, and permit types; converted hundreds of millions of data records; created thousands of enhanced internal procedures; and introduced new and enhanced services to internal and external users and customers. The project made filing taxes easier, improved customer service, addressed internal control gaps, increased financial accounting accuracy, reduced technology risk, improved system availability, improved payment services and revenue protection, and improved data sharing with other state agencies. The DOR accomplished all of this amid the pandemic while continuing to serve its customers and provide agency services on its 25-year-old legacy system.

Even though the DOR did not adhere to a prescriptive model of organizational change, it implicitly addressed many of the approaches of popular change models (e.g., Bridges & Bridges, 2017; Kotter, 1996, 2014). The Project NextDOR team had total support from DOR leadership. There was extensive communication with all DOR team members throughout the project. Honest and realistic expectations were set regarding the rollout of Project NextDOR, the challenges, and the personal transitions people would experience. They were clear that it would not be easy. They actively listened to DOR team members and addressed their concerns. The vendor originally wanted to use director and manager-level employees to map the DOR's processes, but the department pushed back and chose front-line supervisors and employees from the affected functions to map the processes and serve as SMEs, testers, and trainers. Considering the customization of the ITS, the team members balanced the needs of the DOR, its customers, employees, and stakeholders while ensuring the integrity and robustness of the vendor's ITS.

The DOR empowered teams to own their results and the services they deliver and to redesign their processes to take advantage of the new ITS. It established a business systems support group to aid this work while breaking down organizational silos and automating rote work. It actively engaged and listened to customers and stakeholders in the tax ecosystem. Customer input was sought throughout the implementation. It invested considerable time in identifying taxpayer issues and incidents to make it as easy as possible for DOR customers to file returns, pay taxes, and receive refunds. It developed a communication plan to engage key stakeholders in the tax ecosystem, relying on the Commissioner's Tax Advisory Council for feedback on the potential impact of changes in the system.

DOR leadership knew that maximizing their $100 million investment in Project NextDOR required addressing the whole system, including employee development, involvement, and engagement; business and work process improvement; workflow management; and organizational alignment. This comprehensive approach worked as follows (Indiana Department of Revenue, 2022):

> From start to finish, everyone on the team remained passionately aligned with project objectives and committed to success. The team lived the DOR's core values and stayed laser-focused on positive leadership, collaboration, teamwork, and continuous improvement. And the results showed it.

Ronald Heifetz (1994) claimed that one of the biggest failures in leading change is treating adaptive challenges the same as technical problems that can usually be solved using existing knowledge, skills, or expertise. Much of the effort to rebuild the DOR's credibility before 2017 focused on its technical problems and less attention was paid to the people issues and cultural changes. While technical problems may be complex and challenging, the problem-solving process is typically straightforward once the problem has been defined. However, addressing adaptive challenges involves deeper levels of change including beliefs, mindsets, values, and habits. According to Heifetz, adaptive challenges require new, often deep learning that ultimately impacts the culture.

In this regard, DOR leadership simultaneously treated Project NextDOR as a systems modernization project and a business modernization project. Grennes (2019) listed five steps to system modernization: (1) building the project; (2) building the project team; (3) RFI, RFP, and partner selection; (4) launching the journey; and (5) doing the difficult, exciting, and exhausting work. He also identified five steps for the business modernization project, including (1) preparing the organization for change, (2) improving service delivery operations, (3) building the village, (4) building a learning organization, and (5) lighting and fueling the energy. The steps for business modernization are primarily cultural in nature and confirm that adaptive challenges are best addressed with the active involvement and collaboration of the people directly affected by the technical problem. In so doing, Project NextDOR's implementation success both benefitted from the DOR's ongoing cultural transformation and deepened it, providing additional evidence for the relevance of Heifetz's (1994) model of how to successfully lead complex change.

4.2. Pervasive customer service ethos and recognition as a premier tax administrator

The DOR has fostered a pervasive customer service ethos consistent with its core value of losing oneself in service of others. Team members recognize and appreciate the importance of the mindset shift to viewing taxpayers as customers; one said: "I have gotten to know my customers on a more personal level. I honestly love that we call them customers." DOR leaders also model this core value by connecting with local customers and tax professionals during their visits to district offices. The DOR regularly conducts listening sessions with a wide range of customers. It also redesigned the DOR website with a customer focus, making it easier for people to navigate, get their questions answered, and connect with the DOR.

Teams and team members are accountable for achieving best-in-class customer service. They have implemented measures of customer satisfaction more typical of for-profit businesses, including post-call satisfaction surveys and the percentage of calls handled within 2 minutes. They evaluate recorded calls, provide feedback and coaching, and celebrate their rock stars. Customer survey results conducted before 2017 indicated that customers dreaded working with the DOR. Now, they find the experience much more pleasant; they achieved overall customer satisfaction scores of over 90% (Indiana Department of Revenue, 2022). Simple acts of kindness like offering someone a glass of water have made a big difference. One DOR team member described the ethos: "We are all about best-in-class customer service."

Given its customer service focus, the successful implementation of Project NextDOR, and its selection as one of the top workplaces in the US, the DOR is now widely recognized as the premier tax agency in the country. Several revenue departments in other states as well as other agencies in Indiana have reached out to benchmark the DOR's transformation. The DOR has won several awards for program excellence from the Federation of Tax Administrators (FTA), the trade association that serves as a center of excellence for tax administration in the US. At FTA meetings and other professional associations, it is regularly asked to share its transformation story and its many successes, including the implementation of Project NextDOR and recognition as a top workplace.

4.3. Top US workplaces

Soon after joining the agency in 2017, DOR leaders conducted an internal 12-question survey. It provided an initial benchmark of how employees felt about the organization. After seeing an article in the *Indianapolis Star* about the Central Indiana recipients of the Top Workplaces awards, the DOR leadership team decided to work with Energage,

the firm that runs the Top Workplace program, to obtain more detailed employee feedback it could use for cultural improvements and to benchmark organizations with positive workplace cultures. Energage is a cloud-based employee engagement platform that partners with media outlets across the country to recognize companies that excel in creating positive workplace cultures. The firm has a database of over 27 million employees from more than 70,000 organizations. While Energage charges fees to conduct the employee engagement survey and for its analytics, there is no charge to participate in the Top Workplaces program.

The Energage (2018) Workplace Survey is a standardized employee survey that provides a comprehensive picture of employee engagement, organizational health, and workplace culture. It looks at things like organizational alignment and adhering to its stated values; how effectively the organization executes its strategy and fosters innovation; the ability of senior leaders to inspire and provide direction; employee relationships with direct supervisors; engagement and commitment to the organization; opportunities for learning and growth; employees feeling appreciated; meaningful work; and basic concerns such as pay, benefits, and work-life balance.

The DOR participated in its first Top Workplace survey in November 2017. It was not recognized as a Top Workplace that year, but the data provided DOR leadership with invaluable insights into what they needed to address. Leaders expressed genuine appreciation for the employees' feedback, analyzed the data, and developed action plans to improve the workplace culture. Several Top Workplace awards later, the results speak for themselves. While it is proud of the recognition, the DOR did not set out to win awards. The intent was to get employee feedback and implement positive people practices to improve employee engagement and build a healthy organizational culture.

4.4. Positive, people-centered practices

Pfeffer established a clear link between investing in people-centered practices and positive organizational outcomes such as increased customer satisfaction, more satisfying and engaging workplaces, and extraordinary economic returns. Pfeffer (1998a, 1998b) also identified seven people-centered practices of these high-performance businesses:

1. Employment security;
2. Selective hiring;
3. Extensive training;
4. Sharing of financial and performance information;
5. Self-managed teams with decentralized decision-making;
6. Reduced status differences and barriers, including dress, language, office arrangements, and wage differences; and
7. Comparatively high compensation contingent on organizational performance.

This section explores the impact of these people-centered practices on the DOR, a context with significantly more constraints than for-profit businesses.

4.4.1. Employment security

Employment security involves committing to providing long-term job security and minimizing layoffs. Government employment typically provides greater job stability and protection compared to private-sector employment. Many DOR team members worked for the agency before the cultural transformation and continued to do so. Employment security does not appear to play as significant a role in the DOR's success as it might in the private sector, other than perhaps as a hygiene factor (Herzberg, 1966).

4.4.2. Extensive training

The DOR has made significant investments in learning and development opportunities to help employees learn, grow, and develop their skills so that they can become the best versions of themselves. As an example, customer service representatives in the call center previously received only 2 days of training on the Indiana Individual Income Tax Manual. They now receive 4 weeks of classroom training plus 2 weeks of on-the-job observation and coaching. The DOR was the first Indiana agency to offer tuition reimbursement and LinkedIn learning courses. Its leadership development program is exemplary. Leaders at all levels are expected to coach, mentor, and otherwise

develop their team members. Several DOR team members stated that the developmental opportunities in the DOR demonstrated that DOR leadership truly cares about them and their success.

4.4.3. Extensive sharing of financial and performance information

From the outset of the cultural transformation, DOR leadership has communicated extensively and frequently with all team members regarding agency aspirations and performance. The DOR tracks and regularly shares financial performance information such as gross and net tax collections and revenue per dollar of cost as well as other administrative costs. In its pursuit of continuous incremental improvement, each function and all teams establish their own performance standards, targets, and measures to track performance. The DOR closely monitors and shares the timeliness of return and refund processing and customer service metrics. In short, the organization communicates frequently and extensively, and its commitment to transparent information sharing has enhanced trust and increased team member commitment.

4.4.4. Reduced status distinctions and barriers

The DOR has successfully implemented the essence of this people-centered organizational practice. Before 2017, there were pronounced status distinctions between executives and front-line employees. As one DOR team member shared, the department has made a concerted attempt to "blow up the distinctions." It unlocked the doors to "Mahogany Row" and the executive bathrooms; in some cases, leaders took down the doors or ordered door stops to prop open previously locked doors. Dress codes for all team members have been significantly relaxed. Business casual is now the norm, and staff at all levels frequently and proudly wear DOR gear. And while they still use traditional titles such as supervisor, team leader, director, commissioner, CFO, CIO, and controller, they do not stand on position. The DOR now operates more as a hierarchy of roles than as a hierarchy of control. Several front-line team members shared that they would not hesitate to call the commissioner and that he would take their call. Other than wage levels, which are administered centrally, the DOR has made a concerted and largely successful effort to break down barriers and distinctions between team members. In doing so, it has fostered a more collaborative and engaged culture.

4.4.5. Self-managed teams and decentralization of decision-making

Here, Pfeffer is essentially arguing for more decision-making autonomy for team members and teams. While the DOR has not created self-managing teams per se, its organization design in practice has replaced traditional hierarchical control with a more consultative approach. DOR team members are guided by the pyramid of excellence and empowered to make decisions accordingly. Team leaders actively seek team members' ideas and encourage them to take initiative. They are supported by an attitude best described by the phrase: "Let's see if we can make that happen."

4.4.6. Selective hiring

According to Pfeffer (1998b, p. 100): "Organizations serious about obtaining profits through people will expend the effort needed to ensure that they recruit the right people in the first place." This entails generating a large application pool, clarifying needed skills and attributes, and then screening for attributes difficult to develop through training such as attitudes, values, and character (Pfeffer, 1998b). The DOR has been constrained here because the Indiana State Personnel Department manages all job postings, develops common job descriptions for all agencies, and serves as the gatekeeper for all applicants for state positions. In the past, the DOR often received zero applicants for its job postings. The DOR has been explicit about the attributes it believes will lead to a good cultural fit. The attributes chosen are based on Lencioni's (2016) characteristics of an ideal team player: humble and focused on we, not me; hungry to grow; self-motivated; and smart about people. This is how one DOR team member described what they look for during candidate interviews: "We are looking for someone that lives best-in-class customer service. We are looking for the right fit; somebody who has an open mindset, a willingness to learn, and an approachable face." Even with the constraints, the DOR has remained committed to selective hiring. It is important to remember, that the DOR has been able to transform its culture while retaining team members who had been with the organization before 2017.

4.4.7. High compensation contingent on organizational performance

Pfeffer (1998b, p. 108) made the case that: "salary levels send a message to employees that they are valued." However, the DOR's compensation—even including benefits—was decidedly not competitive with the private sector market throughout its cultural transformation. Compensation levels had been stagnant until November 2022 when the state government implemented the recommendations of the first compensation study it had done in 10 years. The DOR's healthy, high-performance,

and high-engagement culture was already well-established before the rise in wages. As one DOR team member shared: "It's not about the pay because it isn't much different from 10 years ago. It's how they make us feel. Little things like ice cream socials may seem small, but they make employees feel good."

Team members identified the following factors that contributed to feeling valued in lieu of competitive and contingent compensation: meaningful work and a sense of contribution, a supportive community, an elaborate recognition program with regular expressions of appreciation, healthy work-life balance, extensive opportunities for learning and growth, and the DOR's commitment to fun. The role of compensation in the DOR's high-engagement culture appears to be more nuanced. Pink's (2009) model of knowledge worker motivation may provide a better fit with the DOR's constrained context; namely, the three intrinsic motivators for knowledge workers include autonomy, challenge and mastery, and a sense of purpose, all of which is evidenced in the DOR's culture.

Pfeffer (1998a) argued that adopting these people-centered practices as an integrated system aligned with an organization's unique context and strategy can lead to high performance. This has been largely the case for the DOR apart from the constraints on people practices due to its operating as a government agency.

4.5. A healthy, positive, and sustainable culture

The DOR has achieved its goal of building a healthy culture. The importance of genuinely respecting and valuing people as people, trusting them, and not instrumentalizing them cannot be overstated. These ideals are the cornerstones of the *DOR magic*, which Grennes described in these terms:

> Our team cares deeply about what we do and whom we serve. We also care about each other and our work environment. We are proud to have an attractive culture that inspires people to join our team. We work hard to nurture and protect our culture. It helps us inspire people to build a career with us and to grow personally and professionally while serving their fellow Hoosiers and having a lot of fun.

DOR team members are genuinely proud to be part of this DOR magic. Team members described the DOR as a fabulous place to work because of how they are treated by senior managers and their supervisors. It starts with the small things that demonstrate genuine respect for people. Gestures such as knowing someone's name elevate a person from a title or role to a valued team member.

The DOR is an energized and engaged organization that thrives on mutual respect, a shared identity of exemplary performance, and an environment of appreciation and support. It truly embraces the core value of teamwork. In many of my conversations with DOR team members, there was a recurring theme of 'help your neighbor' and a sense of community. Team members talked about how they love coming to work because of the people with whom they work, the family feel, the camaraderie, and the sense of community they experience at the DOR. The numerous descriptions of the DOR as a family reflect its caring and supportive culture. Frequent mentions about loving to work at the DOR are indicative of high levels of job satisfaction, which has also positively impacted retention rates, performance, and organizational commitment.

The true test of the success of the DOR's dramatic cultural transformation is whether it is sustainable. According to Leschke-Kahle (2023), consistency is critical to sustaining an organization's culture. The DOR's guiding principles for 2023—2024 confirm its abiding commitment to its engaging, challenging, and welcoming work environment and its core values of continuous improvement, teamwork, fun, providing best-in-class customer service, and impactful leadership. But the DOR is a government agency and continuity of leadership is never guaranteed. Some team members expressed concern that a new governor may decide to appoint a new commissioner after the next election cycle. Nonetheless, team members are relatively confident regarding the sustainability of the DOR's positive culture. They believe that it will continue because the DOR magic is so thoroughly woven into the DOR culture and, most importantly, it works. So, they ask, why would anybody want to change it?

5. Concluding thoughts

It is especially noteworthy that the DOR's cultural transformation was not implemented as a program or change initiative. Grennes described it as follows: "We did not set out to win any awards. We went to work doing hundreds of interconnected things to build a healthy culture that would produce amazing results." This statement elegantly captures the essence of the DOR's cultural transformation and how leadership addressed Schein's three levels of culture. Surfacing the DOR's basic underlying assumptions and tacit beliefs, and then shifting team members' mindsets, provided a people-centered foundation for how the DOR

enacted the "hundreds of interconnected things to build a healthy culture." The specific mindset shifts introduced by the commissioners, especially genuinely respecting, trusting, and valuing people as people—team members, customers, and stakeholders—guided all decisions and actions. The DOR Pyramid of Excellence and core values effectively captured the DOR's espoused beliefs and reflected their belief in people. The "hundreds of interconnected things" were the cultural artifacts and observable behaviors that both reflected and reinforced the healthy culture that produced amazing results, its people-centered practices, and its well-deserved recognition as a top regional and US workplace.

However the success of the DOR also relied on leadership's willingness to do the hard work that successful cultural transformation requires. By way of example, Grennes shared a copy of his Commissioner's Employee Engagement Checklist. It includes a total of 27 different activities that he does on a weekly, biweekly, monthly, quarterly, and annual basis. It covers everything from sending "High-fives," sending handwritten welcome cards to new team members, personally visiting each new team member, presenting employee of the month awards, and celebrating length of service milestones, to name only a few. Grennes stated that while he has always been high-energy, he does get tired on occasion. But he quickly added: "It's a good tired."

The success of the DOR's cultural transformation involved leaders putting people first and living the DOR's core value of "losing oneself in service to others."

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